



Essential™

Providing natural resources for life.

Essential Utilities, Inc. (NYSE:WTRG)

Providing Natural Resources for Life

Recommendation: STRONG BUY;

Implied Price : \$52.93; Upside 31.9%



At a Glance... **Essential Utilities, Inc. (NYSE:WTRG)**



Founded in 1886

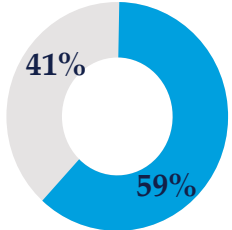


Publicly traded in the US



Delivers water, wastewater, and gas

Revenue Breakdown

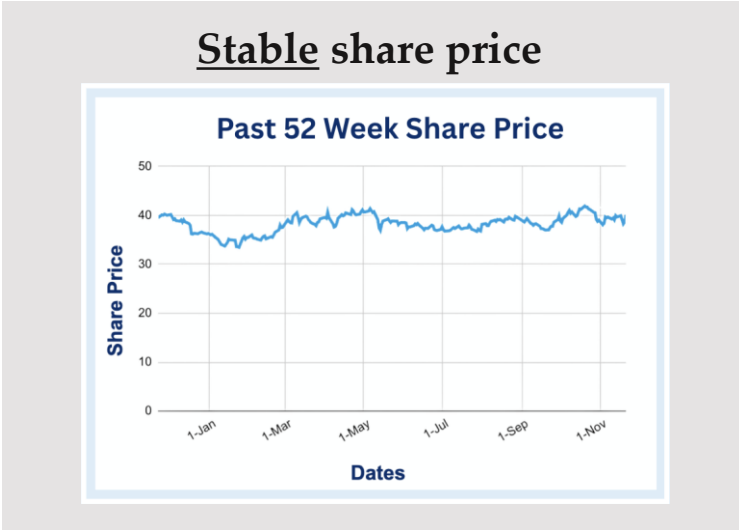


Gas

Water

Key Statistics

Market Cap	\$10.94 B
Total Enterprise Value	\$18.9 B
LTM Revenue (Q3 2025)	\$2.38 B
LTM EBITDA (Q3 2025)	\$1.32 B
LTM EPS (Q3 2025)	\$2.36



Competitive Advantage



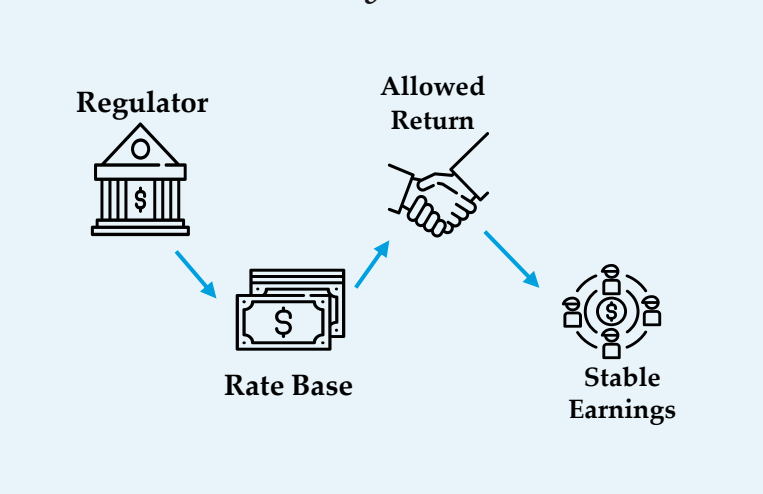
Economies of scale
ESG initiatives

Looking Ahead

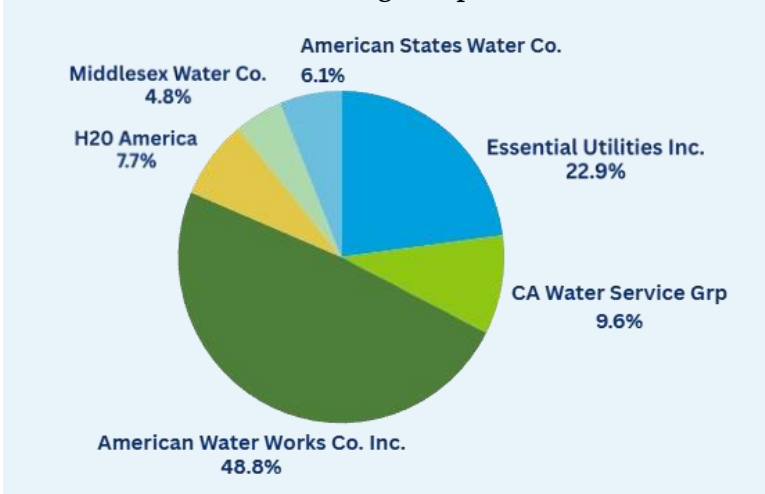


American Water Works merger
Infrastructure investments
System modernization

Low Risks Industry



Revenue Market Share Among Comparables



Natural Monopolies

- High infrastructure costs
- Each geographic served by a single provider



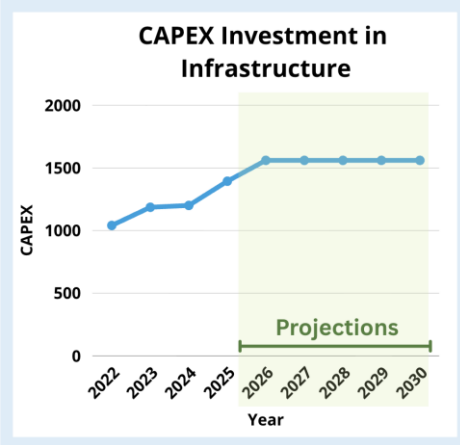
Regulated Industry

- Price & Allowed Returns
- Overseeing services



ESG Initiatives & System Modernization

- Aging systems need modernization
- Multiple stakeholders demand environmental performance



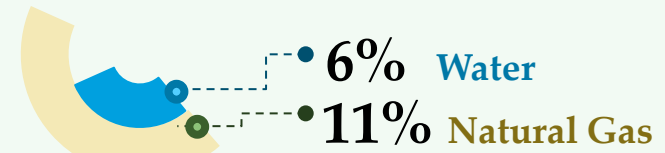
(Q3 2025 Report)

\$7.8 billion
CAPEX
Investment of
(2025-2029)



**Reduce Emissions
& Information
Systems**

Expected Regulated Base Rate Growth



(in compounded annual growth rate)



- 1** Accelerating Rate-Base Growth Driving Revenues
- 2** Minimized Legal & Regulatory Risk
- 3** Overall Enhanced Reputation & Goodwill



2019

1st North American utility to upgrade to S/4HANA

2020

partnered with **Infosys** to modernize data management

2025

26M Investment in major data center project



Established **relationships & presence** with tech firms



Benefit from **growth of emerging technology**



Operating Efficiency

5-Year Revenue Projections*

	HISTORICAL					EXPECTED				
Selected: Base Case	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenues	1,803	2,046	2,303	1,937	2,338	2,553	2,751	2,921	3,100	3,327
% Growth		13.4%	12.6%	-15.9%	20.7%	9.2%	7.8%	6.2%	6.2%	7.3%
					1.52%					
Total Revenue	1,803	2,046	2,303	1,937	2,338	2,553	2,751	2,921	3,100	3,327

1) Revenue Assumptions

Stable
Revenue

Moving Average
Growth Rate

Unnaturally Warm Weather



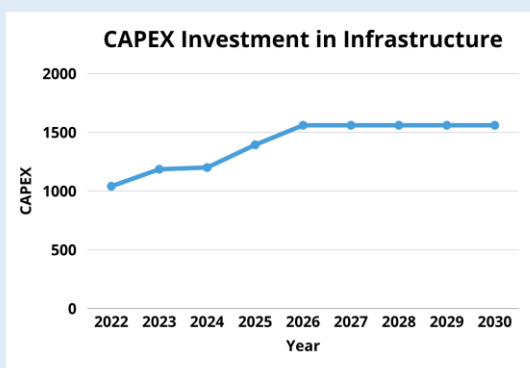
Natural Gas
Division Demand

Omitted FY2024
Revenue Decline

2) CAPEX Assumptions

\$7.8 Bill CAPEX
over 5 years

\$1.56 Bill CAPEX
per year



*Note: Fiscal Year Calculation:

FY2021 = Q3 2020 → Q2 2021
previous year current year

(Calculation in Appendix I)

5-Year Expense Projections

Gross Margin	1,516.6	1,579.5	1,705.8	1,719.7	1,983.2	2,088	2,238	2,399	2,597	2,754
Ops. And Maintenance	539.3	556.8	594.0	575.2	586.9	604.0	620.9	630.2	645.3	659.8
		3.24%	6.68%	*omit	-1.20%	2.91%	2.80%	1.50%	2.40%	2.23%
Other Operating Expense	88.7	92.1	98.1	98.9	104.2	119	126	135	145	153
Depreciation and Amortization	282.4	303.1	328.4	349.1	381.9	403.8	436.0	468.9	508.9	535.5
Amortization of Goodwill	5.7	5.3	4.7	5.6	10.1	5	6	7	6	8

3) Operating Expense Assumption

Resulting from Revenue



**Unusual Decline
in Operating &
Maintenance
Expense**



Weighted Average
Omitted FY2024
Expense Decline

Other Assumptions:

Beta
0.81
(Capital IQ)

Cost of Equity
7.58%

Gordon Growth Model

Gordon Growth Model	
Terminal Growth Rate	2.0%
Terminal Year FCFE	556
Discount Rate	7.58%
Terminal Value	9,965
Time Period	5
PV of Terminal Value	6,916

Rates Assumptions

**In line with
US GDP
Growth**



2%
Terminal
Growth Rate

Exit Multiple
14.5x
(Calculation in Appendix II)

5 Comparable Companies



CALIFORNIA
WATER SERVICE GROUP
INVESTING FOR LIFE

H₂O America



American States
WATER COMPANY



Valuation by Multiples

Company	Ticker	Market Cap	Share Price	Enterprise Value	Revenue	Net Income	P/E
American Water Works Co, Inc.	NYSE:AWK	25,377.80	90.80	40,509.80	5,070.00	1,112.00	22.8x
CA Water Service Group	NYSE:CWT	2,827.10	47.43	4,274.90	1,002.40	136.40	20.7x
H2O America	NasdaqGS:HTO	6,478.90	16.29	6,918.40	3,594.60	448.00	14.5x
Middlesex Water Co.	NasdaqGS:MSEX	1,045.10	58.06	1,460.60	195.80	43.40	24.1x
American States Water Co.	NYSE:AWR	2,797.70	72.67	3,727.90	616.00	124.80	22.4x
Essential Utilities Inc.	NYSE:WRTG	10,949.9	39.2	18,727.9	2,338.2	645.8	17.0x

P/E Multiple Valuation

Average Comparables P/E	22.4x
Net Income	\$645.8
Implied Equity Value	\$14,477.20
Shares Outstanding	279.50
Implied Share Price	\$51.8

DCF Valuation

Implied Equity Value	\$14,740.70
Shares Outstanding	278.50
Implied Share Price	\$52.93



**Current
Share Price**
\$40.12

Risks

HIGH

Merger Execution and Integration

- Inefficient operations,
- Internal corporate discord
- Unexpected costs

MOD

Unfavourable Weather and Volatile Gas Prices

- Low gas prices = decrease in revenue
- Warm weather induces lower-than-expected market demand
- Decline in revenue

Mitigations:

Thorough Planning and Effective Communication

- Essential communicated plans, goals, and future structure
- Mitigates risks and improves understanding

Water and Wastewater Revenue Streams

- Stabilizes revenue growth from gas price volatility

Sensitivity Analysis

All possible outcomes lead to an implied upside supports buy conclusion

		Cost of Equity					
		\$52.93	6.58%	7.08%	7.58%	8.08%	8.58%
Terminal Growth Rate	1.00%	\$54.91	\$52.63	\$50.59	\$48.73	\$47.04	
	1.50%	\$56.43	\$53.91	\$51.68	\$49.67	\$47.86	
	2.00%	\$58.25	\$55.40	\$52.93	\$50.74	\$48.78	
	2.50%	\$60.46	\$57.18	\$54.39	\$51.97	\$49.83	
	3.00%	\$63.25	\$59.35	\$56.14	\$53.41	\$51.03	



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Conclusion

Essential Utilities, Inc. (NYSE:WTRG)

Recommendation: **STRONG BUY**;
Implied Price : \$52.93; Upside 31.9%

Fiscal Year Calculations for Income & Cash Flow Statements:

Each Financial year is listed as the Q3 of the previous year to Q2 of the indicated year as is done in the historical statements

Income Statement													
For the Fiscal Period Ending	Reclassified 3 months Q3 Sep-30-2020	Reclassified 3 months Q4 Dec-31-2020	Reclassified 3 months Q1 Mar-31-2021	3 months Q2 Jun-30-2021	3 months Q3 Sep-30-2021	3 months Q4 Dec-31-2021	Reclassified 3 months Q1 Mar-31-2022	3 months Q2 Jun-30-2022	3 months Q3 Sep-30-2022	3 months Q4 Dec-31-2022	3 months Q1 Mar-31-2023	3 months Q2 Jun-30-2023	
	Currency USD	USD	USD	USD	USD	USD	USD	USD	USD	USD	USD	USD	
Revenue	348.6	474.0	583.6	397.032	361.860	535.687	699.275	448.756	434.618	705.383	726.450	436.700	
Other Revenue	-	-	-	-	-	-	-	-	-	-	-	-	
Total Revenue	348.6	474.0	583.6	397.032	361.860	535.687	699.275	448.756	434.618	705.383	726.450	436.700	
Fuel & Purchased Power	16.7	92.8	132.2	44.897	25.488	137.724	227.712	75.143	52.041	247.099	256.315	41.933	
Ops. and Maintenance	134.1	157.6	122.4	125.187	137.066	149.462	138.049	132.243	148.666	180.797	134.571	129.982	
Depreciation & Amort.	68.2	69.8	71.6	72.764	72.606	75.184	77.878	77.425	80.471	80.037	82.923	84.937	
Amort. of Goodwill and Intangibles	1.8	1.2	1.3	1.408	1.901	1.145	0.468	1.751	2.259	0.888	0.871	0.724	
Other Operating Exp.	22.6	22.7	21.9	21.526	21.408	25.959	22.996	21.719	22.562	26.735	25.614	23.186	
Total Operating Exp.	243.4	344.1	349.3	265.782	258.469	389.474	467.103	308.281	305.999	535.556	500.294	280.762	
Operating Income	105.2	129.9	234.2	131.3	103.4	146.2	232.2	140.5	128.6	169.8	226.2	155.9	
Interest Expense, Total	(49.9)	(51.8)	(50.8)	(52.000)	(52.100)	(52.800)	(53.600)	(55.200)	(60.500)	(68.800)	(72.700)	(69.200)	
Interest and Invest. Income	0.1	0.0	0.4	0.338	0.565	1.094	0.609	0.824	1.510	0.732	0.819	0.970	
Net Interest Exp.	(49.7)	(51.8)	(50.4)	(51.700)	(51.600)	(51.700)	(53.000)	(54.400)	(59.000)	(68.000)	(71.800)	(68.200)	
Income/(Loss) from Affiliates	(3.6)	(0.1)	-	-	-	-	-	-	-	-	-	-	
Allow. For Borrowed Funds Used During Period	3.5	4.0	2.9	4.906	6.082	6.870	5.839	6.151	5.812	5.688	5.688	3.424	
Other Non-Operating Inc. (Exp.)	4.2	0.3	1.3	(0.200)	(6.200)	(0.400)	(0.800)	(1.900)	(2.100)	(3.000)	(0.600)	(0.600)	
EBT Excl. Unusual Items	59.5	82.3	188.1	84.226	51.752	101.007	184.222	90.372	73.393	104.626	159.417	90.574	
FY2021													
FY2022													
FY2023													

FY2021

FY2022

FY2023

and so on..

Exit Multiple Calculations:

Based on comparable analysis: Equity to EBITDA multiple was found by first finding total enterprise value, by adding cash and short-term investments, and subtracting minority interest, preferred equity and debt. Then we divided TEV by EDITDA.

Comparable Company Analysis (\$M)										Multiples		
Company	Ticker	Market Cap	Shares Outstanding	Share Price	Enterprise Value	Revenue	Net Income	EBITDA		EV/Revenue	EV/EBITDA	P/E
American Water Works Company, Inc.	NYSE:AWK	25,377.80	279.50	90.80	40,509.80	5,070.00	1,112.00	2,761.00		8.0x	14.7x	22.8x
California Water Service Group	NYSE:CWT	2,827.10	59.60	47.43	4,274.90	1,002.40	136.40	352.80		4.3x	12.1x	20.7x
H2O America	NasdaqGS:HTO	6,478.90	397.70	16.29	6,918.40	3,594.60	448.00	1,143.00		1.9x	6.1x	14.5x
Middlesex Water Company	NasdaqGS:MSEX	1,045.10	18.00	58.06	1,460.60	195.80	43.40	88.80		7.5x	16.4x	24.1x
American States Water Company	NYSE:AWR	2,797.70	38.50	72.67	3,727.90	616.00	124.80	239.40		6.1x	15.6x	22.4x
Essential Utilities Inc.	NYSE:WRTG	10,949.9	279.5	39.2	18,727.9	2,338.2	645.8	1,292.1		8.0x	14.5x	17.0x

END